UK Fintech Market Analysis Q3 2022 Trends

In our fourth edition of this report with Deloitte, we analyse UK fintech investment volumes in Q3 2022, and consider reasons for cautious optimism for the future.

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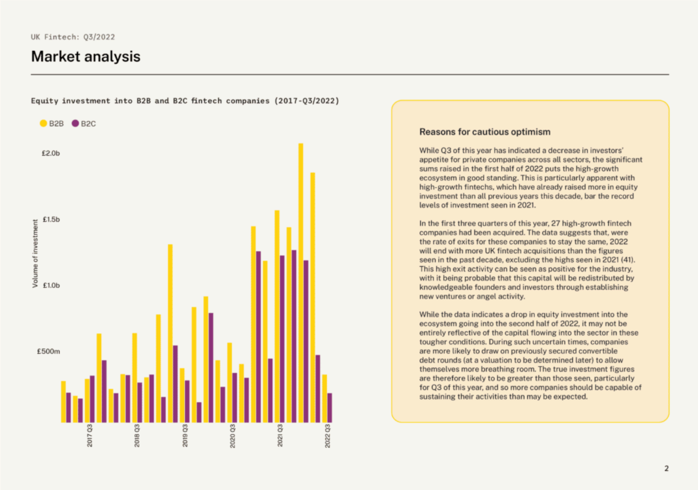
fintech investment than any years prior to 2021. And significant sums secured in H1 of 2022 should put the high-growth ecosystem in good standing.

As in previous editions of our fintech series with Deloitte, we've spotlighted a handful of fintech deals from the quarter, across different stages of growth: seed, venture, growth and acquisitions.

Download the report to see what we uncovered this time around.

Here's a sneak peek inside


UK Fintech: Q3/2022

Market analysis

Equity investment into B2B and B2C fintech companies (2017-Q3/2022)

Reasons for cautious optimism

While Q3 of this year has indicated a decrease in investors' appetite for private companies across all sectors, the significant sums raised in the first half of 2022 puts the high-growth ecosystem in good standing. This is particularly apparent with high-growth fintechs, which have already raised more in equity investment than all previous years this decade, bar the record levels of investment seen in 2021.

In the first three quarters of this year, 27 high-growth fintech companies had been acquired. The data suggests that, were the rate of exits for these companies to stay the same, 2022 will end with more UK fintech acquisitions than the figures seen in the past decade, excluding the highs seen in 2021 (41). This high exit activity can be seen as positive for the industry, with it being probable that this capital will be redistributed by knowledgeable founders and investors through establishing new ventures or angel activity.

While the data indicates a drop in equity investment into the ecosystem going into the second half of 2022, it may not be entirely reflective of the capital flowing into the sector in these tougher conditions. During such uncertain times, companies are more likely to draw on previously secured convertible debt rounds (at a valuation to be determined later) to allow themselves more breathing room. The true investment figures are therefore likely to be greater than those seen, particularly for Q3 of this year, and so more companies should be capable of sustaining their activities than may be expected.

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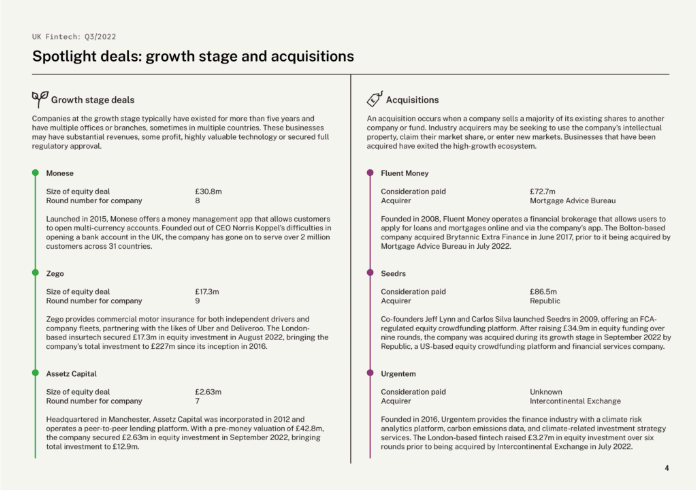
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Spotlight deals: growth stage and acquisitions

Growth stage deals

Companies at the growth stage typically have existed for more than five years and have multiple offices or branches, sometimes in multiple countries. These businesses may have substantial revenues, some profit, highly valuable technology or secured full regulatory approval.

Monese

Size of equity deal £30.8m
Round number for company 8

Launched in 2015, Monese offers a money management app that allows customers to open multi-currency accounts. Founded out of CEO Norris Koppel's difficulties in opening a bank account in the UK, the company has gone on to serve over 2 million customers across 31 countries.

Zego

Size of equity deal £17.3m
Round number for company 9

Zego provides commercial motor insurance for both independent drivers and company fleets, partnering with the likes of Uber and Deliveroo. The London-based insurtech secured £17.3m in equity investment in August 2022, bringing the company's total investment to £227m since its inception in 2016.

Assetz Capital

Size of equity deal £2.63m
Round number for company 7

Headquartered in Manchester, Assetz Capital was incorporated in 2012 and operates a peer-to-peer lending platform. With a pre-money valuation of £42.8m, the company secured £2.63m in equity investment in September 2022, bringing total investment to £12.9m.

Acquisitions

An acquisition occurs when a company sells a majority of its existing shares to another company or fund. Industry acquirers may be seeking to use the company's intellectual property, claim their market share, or enter new markets. Businesses that have been acquired have exited the high-growth ecosystem.

Fluent Money

Consideration paid £72.7m
Acquirer Mortgage Advice Bureau

Founded in 2008, Fluent Money operates a financial brokerage that allows users to apply for loans and mortgages online and via the company's app. The Bolton-based company acquired Brytannic Extra Finance in June 2017, prior to it being acquired by Mortgage Advice Bureau in July 2022.

Seedrs

Consideration paid £86.5m
Acquirer Republic

Co-founders Jeff Lynn and Carlos Silva launched Seedrs in 2009, offering an FCA-regulated equity crowdfunding platform. After raising £34.9m in equity funding over nine rounds, the company was acquired during its growth stage in September 2022 by Republic, a US-based equity crowdfunding platform and financial services company.

Urgentem

Consideration paid Unknown
Acquirer Intercontinental Exchange

Founded in 2016, Urgentem provides the finance industry with a climate risk analytics platform, carbon emissions data, and climate-related investment strategy services. The London-based fintech raised £3.27m in equity investment over six rounds prior to being acquired by Intercontinental Exchange in July 2022.

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About the authors

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DANIEL ROBINSON

Daniel conducts data manipulation and analysis as part of the Research & Consultancy team. He has a background in business analysis and commercial copywriting in Australia and the UK, having worked at The Sunday Times Fast Track, Oxford University Press, and advertising network MullenLowe Group.

FREYA HYDE

Freya performs data analysis and visualisation in the Research & Consultancy team, with a focus on design. She has worked on projects for clients including Barclays, EY and JP Morgan. Freya holds a BA in History (International) from the

ETHAN YIP

Ethan carries out data analysis and visualisation. Before joining Beauhurst, Ethan graduated from the University of Bath, where he was awarded the degree of Master of Chemistry (MChem) and spent a year studying at the National University of Singapore.

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